

**IN THE COURT OF APPEAL OF THE DEMOCRATIC SOCIALIST REPUBLIC OF
SRI LANKA**

*In the matter of an Application for
Orders in the nature of Writs of
Certiorari, Prohibition and Mandamus
under Article 140 of the Constitution of
the Democratic Socialist Republic of Sri
Lanka.*

Ceylon Liquor Holdings (Pvt.) Ltd.,
No. 196/A/1, Sangabo Mawatha,
02nd Galawilawatta,
Homagama.

CA (Writ) App. No. 191/2025

PETITIONER

Vs.

1. Commissioner General of Excise,
Excise Department of Sri Lanka,
No. 353, Kotte Road, Rajagiriya.
2. Secretary to the Ministry of Finance,
Planning and Digital Economy,
The Secretariat,
Colombo 01.
3. Director General,
Department of Fiscal Policy,
Ministry of Finance, Planning and
Digital Economy,
The Secretariat,
Colombo 01.

4. Hon. Attorney General,
Attorney General's Department,
Hulfsdorp,
Colombo 12.
5. Divisional Secretary,
Divisional Secretariat,
Thimbirigasyaya.

RESPONDENTS

Before: Dr. D. F. H. Gunawardhana, J.

Counsel:

Eraj De Silva, P.C. with Daminda Wijayarathne, Nisith Abeysooriya and Naveed Ahamed
instructed by Dimuthu Kuruppuarachchi for the Petitioner.

Nayomi Kahawita, S.S.C. for the Respondents.

Argued on: 09.02.2026

Delivered on: 25.06.2026

Dr. D. F. H. Gunawardhana, J.

Judgement

Introduction

The counsel on all sides agreed that both Applications can be disposed by one judgement; therefore, the judgement given in this Application applies to the connected Writ Application bearing No. 176/2025.

The Petitioner, having responded to an invitation to applications published in a gazette issued by the Department of Excise, had applied to obtain a liquor license known as FL-04 license, and along with his application, the Petitioner had submitted relevant supporting documents. The 1st Respondent, having accepted the same, had submitted it to the 2nd Respondent for processing the same. However, the 2nd Respondent had not taken any action, and therefore, the Petitioner seeks the intervention of this Court.

After the issuance of formal notice on the Respondents, they have filed their Objections, by which they seek to dismiss this Application. This was argued before me on 09.02.2026; hence, this judgement.

The Petitioner's position

The Petitioner is a duly incorporated company under the Companies Act, No. 7 of 2007, and its principal place of business is at the address given in the caption; to establish that, the Petitioner has marked and annexed **P1(A)** and **P1(B)**, the Certificate of Incorporation and the Certificate of Registered Office. The Petitioner states that it has so been incorporated for the purpose of carrying on the business of a liquor shop within the district of Colombo.

In 2024, the Government, having decided to enhance its revenue, had decided to issue liquor licenses under the Excise Ordinance. For that purpose, it has obtained the approval of the Parliament as well. Thereafter, the 1st Respondent has called for applications as published in the Gazette Notifications marked as **P2(1)** to **P2(3)**.

The Petitioner, having obtained an application form by paying the fee, had submitted a duly filled form along with the following relevant documents;

- 1) The Survey Plan of the premises where the Petitioner intends to carry on its business and to show that no school or place of religious worship is situated within 100 meters of it
- 2) The building plan which was approved by the Pradeshiya Sabha
- 3) The lease agreement to show that the Petitioner has obtained a valid lease which is registered for the said premises
- 4) The director's affidavit to show that such director has not been convicted of an offence under the Penal Code or Excise Ordinance
- 5) The clearance certificates from the police station and Divisional Secretary

After the submission of the duly completed application along with the said documents, the 1st Respondent has issued a letter marked as **P3** to the Petitioner. Thereafter, the 1st Respondent has sent the said application to the 2nd Respondent. However, the 2nd Respondent has not taken any steps in processing the same, despite the fact that the Petitioner has made attempts to have an interview with the 2nd Respondent. Therefore, the Petitioner has no other option but to seek relief as prayed for the prayers of this Application.

The Respondents' Objections

The Respondents by their Objections rely on two documents marked as **X1** and **X2** annexed to the Objections, which are two Circulars issued by the Secretary to the President, one giving instructions not to issue any new liquor licenses and the other removing the said suspension of the liquor license to be issued to tourist hotels and restaurants.

Accordingly, they have stated that the Petitioner's application was not processed due to a stay order issued by the Supreme Court in the case bearing No. 116/2023, with 131/2023 and 138/2023; therefore, the Respondents are prevented from issuing licenses.

In addition to that, the Respondents

As such, it is their position that this Court cannot make any order in favour of the Petitioner in view of the said stay order given and move for the dismissal of this Application.

Arguments

The thrust of the main contention of Mr. Eraj De Silva, P.C., is that all the rules promulgated by the Minister in terms of Section 32 have been complied with by the Petitioner; therefore, he is eligible for the issuance of the license. Withholding the final clearance by the Minister is arbitrary, illegal, and irrational as the Minister cannot violate the rules and regulations made by his own self. As such, the Petitioner is entitled to the relief as prayed for.

The document marked as **P3** was issued by the Commissioner General on 08.01.2024, to the Minister for his final approval. However, the Minister nor his secretary has responded to it. Therefore, such irresponsibility by the Minister is irrational, violative of the rules that he himself has made.

Ms. Kahawita, learned Senior State Counsel contended that though in the other matters, writs were issued and the Respondents never appealed, in this matter they could not give consent to issue writs for the simple reason that there is a Supreme Court order by which the issuance of writs was stayed.

Issues to be considered

In view of the matters pleaded in the Petition, Objections, and arguments advanced at the hearing, the following matters arise for my consideration;

- (i) Whether the Petitioner's application has been accepted on the basis that it has been duly submitted along with the required documents
- (ii) If so, whether the Respondents are under a duty to process the same and issue the license to the Petitioner
- (iii) Whether the Respondents are prevented from issuing or processing the said license as sought by the Petitioner in view of the stay order given in the Supreme Court Fundamental Rights case bearing No. 116/2023, with 131/2023 and 138/2023

Proper application submitted

In this Application, the Petitioner has clearly established that it has obtained the proper application after paying the fee to the 1st Respondent and has submitted its application for an FL-04 license, which the 1st Respondent had advertised by **P2(1)** to **P2(3)**, and once the application was submitted along with the relevant additional documents which are enumerated above, the 1st Respondent, having accepted the same, issued **P3**.

In addition to that, the 1st Respondent had forwarded the said application to the 2nd Respondent for the purpose of processing the same, and thereafter, the 2nd Respondent had not taken any action on it. Initially, no reason was given for such non-action; however, with the objections, what is stated therein is based on three documents that they are not able to process the same. Two of the said documents are the two circulars issued by the Secretary to the President just after the President assumed duties. The third document is the Supreme Court stay order in a Fundamental Rights application.

I will now consider them one by one.

Therefore, it is my view that the Petitioner has submitted a proper application, and the Respondents have not taken the necessary action.

The next matter that I have to consider is whether the Petitioner is legally entitled to obtain a license.

The Petitioner is entitled to the license

According to the Petition, which the Respondents have not denied as well, the call for the submission of applications was done by advertising, because the Government desired to enhance its revenue, and it had been approved by the Parliament, who is the ultimate controller of finance of the nation. Accordingly, by issuing liquor licenses, the Government had decided to enhance its revenue in the backdrop of the recovery from the economic crisis.

After advertising the applications for licenses, the Petitioner had duly filled and submitted its application; thus, in law, there was no impediment for the Petitioner to obtain the license, and there

was no impediment for the Respondents to issue the same since everything was in order as reflected in the document marked as **P3** annexed to the Petition.

Dereliction of duty

Accordingly, since there was no impediment to the grant of the licence, a right had accrued to the Petitioner under law to obtain the licence. Therefore, the refusal or dereliction in processing such application amounts, in effect, to a refusal to grant the licence and constitutes a failure to discharge the legal duty binding on the 2nd Respondent. Accordingly, as against the Petitioner's rights, there always lies a correlative duty on the Respondents.

However, the application submitted by the Petitioner has not gone beyond the table of the 2nd Respondent due to the Circular marked as **X1**, which was issued by the Secretary to the President, who has issued so, suspending all the licenses applied for the ensuing year.

Thus, the question arises as to in what capacity the Secretary has done so; whether it was done on behalf of the President or as the Finance Minister.

On a perusal of the document **1R1**, it appears that he has done so in the capacity of the Secretary to the President, and it is my view that he has not quoted or cited any law to issue such circular on the advice of the President. Therefore, nobody knows, including himself, from where he derives his powers to issue such circular.

Irrationality

In addition to that, even if he had issued it on the advice of His Excellency the President, he has not cited any law or authority under which he derives his powers; therefore, in a constitutional

democracy, particularly under the 1978 Constitution of Sri Lanka, the President is also a creation of the Constitution itself, and all the powers of the president derive from the powers given under the constitution which is the power of the sovereign people. The President only exercises such powers subject to the Constitution and the law¹; therefore, he cannot be above the law, as enunciated in several cases; vide judgement in *Spirit World (Pvt) Ltd v. Commissioner General of Excise and Others* [2026]², where the issuance of liquor licenses was in issue. In this case too I must hold that the two circulars issued by the Secretary to the President is *ultra vires* and against the law because it does not mention on what authority or power such circulars are issued. As such, based on such circulars, the refusal to process the application is also irrational and illegal.

No prohibition

The next question that arises for my consideration is whether the Respondents are prevented from issuing the license by reason of the Supreme Court stay order in the Fundamental Rights case bearing No. 116/2023, with 131/2023 and 138/2023.

For this purpose, I will now reproduce the stay order issued by Their Lordships of the Supreme Court dated 02.04.2024 and 10.05.2024, which reads thus;

“This Court prohibits the Respondents in SC FR Nos. 116/2023, 131/2023, and 138/2023 from deciding or acting in any manner contrary to the provisions of the Excise Ordinance, Rules made thereunder and other applicable law, in so far as the acceptance and

¹ Hirunika Eranjali Premachandra v. Hon. Attorney General and Others [2024] SC FR Application No. 221/2021 (SC Minutes 17.01.2024).

² CA (WRT) No. 60/2025 (CA Minutes 04.03.2026).

processing of applications for liquor licenses and granting of corresponding licenses under the two regimes provided for in the Excise Ordinance are concerned.

This Interim Order shall prevail and remain in force till this Court decides on the grant or otherwise of Leave to Proceed as well as make other interim orders as prayed for by the Petitioners and deemed appropriate by Court.

This matter is to be resumed on 10.05.2024 in the morning session.”³

“This Court prohibits the Respondents in SC FR Nos. 116/2023, 131/2023, and 138/2023 from deciding or acting in any manner contrary to the provisions of the Excise Ordinance, Rules made thereunder and other applicable law, in so far as the acceptance and processing of applications for liquor licenses and granting of corresponding licenses under the two regimes provided for in the Excise Ordinance are concerned.

This Interim Order shall prevail and remain in force till this Court decides on the grant or otherwise of Leave to Proceed as well as make other interim orders as prayed for by the Petitioners and deemed appropriate by Court.”⁴ [Emphasis is mine]

According to that, it is my humble understanding that it does not state the Respondents are prevented from issuing any licenses in accordance with the law; therefore, if the issuance of license is according to the law, they are always within the law and can act within the law.

³ Page 13 of the document marked as **X3** annexed to the Objections.

⁴ Page 2 of the document marked as **X4** annexed to the Objections.

To buttress my view, I further rely on Justice K.M.G.H. Kulatunga, who also formed a similar view in the case of *M.D. Themiasa v. Saman Jayasinghe and Others*⁵.

Writ lies

As such, it is my view that the Respondents are not prevented from issuing license according to the stay order. This has been considered in some other judgements as well, as submitted by the Counsel for the Petitioner.

As such, it is my view that refraining from the issuance of license based on the documents marked as **X1** and **X2** is dereliction of the duties of the Respondents; thus, the Petitioner is entitled to the writs as prayed for.

Conclusion

For reasons adumbrated above, I grant relief as prayed for in prayer (*b*) of the Petition. In addition to that, I order a sum of Rs.10,500/- (Ten Thousand Five Hundred Rupees) as cost payable to the Petitioner. Further, the same order for costs in the sum of Rs.10,500/- is made in the connected Writ Application bearing No. 176/2025.

JUDGE OF THE COURT OF APPEAL

⁵ CA/WRT/0052/2024 (CA Minutes 22.10.2025).